7. INCOME TAXES:

The Company's provision for (benefit from) income taxes for the three years ended December 31, 2001 consists of the following:

	Year Ended December 31,		
	1999	2000	2001
Current tax (benefit) expense:			
Federal	$ 3,201,000	$ 683,000	$ (1,229,000)
State	969,000	254,000	-
Total current	4,170,000	937,000	(1,229,000)
Deferred tax expense:			
Federal	107,000	416,000	821,000
State	63,000	60,000	1,000
Total deferred	170,000	476,000	822,000
Total provision for (benefit from) for income taxes	$ 4,340,000	$ 1,413,000	$ (407,000)

The following is a reconciliation of the components of the provision for (benefit from) income taxes:

	2000	2001
Provision for (benefit from) income taxes per the income statement	$ 1,814,000	$ (345,000)
Extraordinary item tax benefit	(168,000)	-
Cumulative effect tax benefit of adopting SAB 101 (2000) and FAS 133 (2001)	(233,000)	(62,000)
Provision for (benefit from) income taxes	$ 1,413,000	$ (407,000)

The composition of the deferred tax assets (liabilities) at December 31, 2000 and December 31, 2001 are listed below:

	2000	2001
Accrued liabilities	$ 617,000	$ 474,000
Allowance for doubtful accounts	631,000	143,000
Other	326,000	267,000
Total current deferred tax assets	1,574,000	884,000
Property and equipment	(2,212,000)	(2,915,000)
Goodwill and other intangibles	(138,000)	(236,000)
State net operating loss carry forward	-	173,000
Other	79,000	328,000
Total non-current deferred tax liabilities	(2,271,000)	(2,650,000)
Net deferred tax liability	$ (697,000)	$ (1,766,000)

The provision for (benefit from) income taxes differs from the amount of income tax determined by applying the applicable U.S. Statutory income taxes rates to income before taxes as a result of the following differences:

	2000	2001
Federal tax computed at statutory rate.....	34%	(34)%
State taxes, net of federal benefit and net operating loss limitation.....	6%	2%
Non-deductible goodwill.....	5%	9%
Other.....	1%	3%
	46%	(20)%